

Member ID: _____

Time: _____

Rank: _____



ADVANCED COLLEGE ACCOUNTING (115)

NATIONAL 2025

Multiple Choice, Matching, & Short Answer Section:

Multiple Choice (15 @ 2 points each) _____ (30 points)

Short Answer: (33 @ 2 points each) _____ (66 points)

Production Portion:

Job 1: Statement of Cash Flows (39 @ 1 point each) _____ (39 points)

Job 2: Merchandise Inventory Entries (39 @ 1 point each) _____ (39 points)

Job 3: Partnership Income Division (40 @ 1 point each) _____ (40 points)

TOTAL POINTS _____ **(214 points)**

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

The test is divided into two parts, and you **MUST** complete both parts. You will have 90 minutes to complete your work.

PART ONE Instructions: Concept Knowledge

1. Open Google Chrome and navigate to compete.bpa.org.
2. Click on the Secondary Division Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

PART TWO: Application Knowledge

Complete the questions in the rest of this test booklet by filling in the PDF.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

SHORT ANSWER:

Part 1: Adjusting Journal Entries - 20 @ 2 points each (40 points)

On the journal page below, journalize the following end of the year adjustments for the last day of June 2024.

Round all calculations to the nearest dollar.

- a. Depreciation of Equipment: business was started on October 31, 2023, and equipment with historical cost of \$112,000 was put in service. It is estimated that the equipment will have a salvage value of \$4,000 at the end of its useful life. Useful life is estimated at 5 years and the double declining balance method is used to depreciate all equipment.
- b. The Allowance for Bad Debt account ledger shows a debit balance of \$523. The analysis of A/R method is completed, and it is estimated that \$3,122 of write-offs will occur in the next year.
- c. A periodic inventory system is used. Related account balances include Purchases 4,566,887; Purchase Discounts 32,994; Freight In 21,884; Beginning inventory 84,933; Ending inventory per 6/30/24 physical count 73,224. Complete the adjusting entry to find COGS.

General Journal				
Date		Account Title	Debit	Credit
2024				

Part 2: Bond Issue - 5 @ 2 points each (10 points)

A company has issued \$2,000,000 in 8%, 10-year bonds that pay interest semi-annually while the market rate is at 7%. Answer the following questions regarding this bond issue:

- Did the bonds sell at a discount or premium? _____
- What is the face value of the bonds? _____
- What is the effective interest rate for the bonds? _____
- How much will the semi-annual interest payment be? _____
- Use the Present Value tables given below to calculate the price of the bond on sale date.

PV of \$1					
		RATES			
PERIODS		3.5%	4%	7%	8%
	5	0.84197	0.82193	0.71299	0.68058
	10	0.70892	0.67556	0.50835	0.46319
	15	0.59689	0.55526	0.36245	0.31524
	20	0.50257	0.45639	0.25842	0.21455

PV of an ordinary annuity					
		RATES			
PERIODS		3.5%	4%	7%	8%
	5	4.51505	4.45182	4.10020	3.99271
	10	8.31661	8.11090	7.02358	6.71008
	15	11.51741	11.11839	9.10791	8.55948
	20	14.21240	13.59033	10.59401	9.81815

Part 3: Investment Adjusting Entries - 8 @ 2 points each (16 points)

RJC Corporation has the following investments, details below:

Trading Securities (TS)-

<u>Company</u>	<u>Cost</u>	<u>Value 12/31/23</u>	<u>Value 12/31/24</u>
A Company	\$30,000	\$22,000	\$31,000
B Company	\$24,000	\$26,000	\$28,000

Available for Sale Securities (AFS)-			
<u>Company</u>	<u>Cost</u>	<u>Value 12/31/23</u>	<u>Value 12/31/24</u>
X Company	\$300,000	\$322,000	\$310,000
Z Company	\$56,000	\$60,000	\$58,000

Answer the questions below concerning the adjusting entries for December 2024:

- a. What is the adjusting entry amount to the Trading Securities account on December 2024 and is it a Debit or Credit adjustment:
Amount _____ Debit or Credit _____
- b. What is the balance int the Fair Value Adjustment for Trading Securities account on December 2024 and is it a Debit or Credit adjustment:
Amount _____ Debit or Credit _____
- c. What is the adjusting entry amount to the Available-for-Sale Securities account on December 2024 and is it a Debit or Credit adjustment:
Amount _____ Debit or Credit _____
- d. What is the balance int the Fair Value Adjustment for Trading Securities account on December 2024 and is it a Debit or Credit adjustment:
Amount _____ Debit or Credit _____

PRODUCTION PROBLEMS:

Job #1: Statement of Cash Flows - 39 @ 1 point each (39 points)
Using the data and additional information below, complete the statement of cash flows using the direct method.

Cash Received From:		Cash Paid For:	
Customers	\$14,000	Interest on Debt	\$270
Interest on Investments	\$145	Income Tax	\$95
Sale of Land	\$150	Debt Principal Reduction	\$1,200
Sale of Common Stock	\$700	Purchase of Equipment	\$5,000
Issuance of Bonds	\$1,550	Dividends Paid on Common	\$180
		Purchase of Inventory	\$1,300
		Operating Expenses	\$720
Beginning Cash Balance = \$11,550			
Ending Cash Balance = \$19,280			

Chills Corporation		
Statement of Cash Flows		
For the Year Ending December 31, 2024		

[illegible]

Job #2: Merchandise Inventory Entries - 39 @ 1 point each (39 points)

Using a perpetual inventory system, complete the journal entries below.

- (a) March 1, 2024: Sold merchandise on account, for \$13,300, terms n/30. The cost of the merchandise sold was \$7,400.
- (b) March 8, 2024: Sold merchandise to customers who used MasterCard and VISA, for \$10,650. The cost of the merchandise sold was \$6,300.
- (c) March 16, 2024: Sold merchandise to customers (on account) who used American Express, \$3,260. The cost of the merchandise sold was \$2,200.
- (d) March 17, 2024: Paid an invoice from US Bank for \$322, representing a service fee for processing MasterCard and VISA sales.
- (e) March 22, 2024; Received \$3,180 from American Express Company after a \$80 collection fee had been deducted.

General Journal				
Date		Account Title	Debit	Credit
2024				

[illegible]

Job #3: Division of Partnership Income - 40 @ 1 point each (40 points)

Complete the following tables for the division of net income for partnership.

Scenario 1:

Laurel and Hardy had capital balances of \$142,600 and \$159,800, respectively, at the beginning of the current fiscal year. The partnership agreement provides for salary allowances of \$22,750 and \$33,600, respectively, an allowance of interest at 9.5% on the capital balances at the beginning of the year, and the remaining net income divided at 2:1 ratio. Partnership income for the current year was \$120,001. Using the charts below, show the step-by-step division of net income for each scenario.

	Laurel	Hardy	Total
Salary Allowance			
Interest Allowance			
Remaining Income			
Net Income			

Scenario 2:

Assuming the following changes for Laurel and Hardy, complete the division of income chart below. Salary allowances are 78,400 and 89,600; the allowance of interest on beginning capital is 8%; and the remaining income is divided 1:2 respectively. Beginning capital balances are the same as Scenario 1, but the Partnership income for this scenario is \$180,000.

	Laurel	Hardy	Total
Salary Allowance			
Interest Allowance			
Remaining Income			
Net Income			

Scenario 3:

Assuming the following changes: the partnership has 3 members Moe, Larry, and Curley, complete the division of income chart below using the following information. Beginning capital balances are \$25,000, \$30,000, and \$45,000 respectively. Salary allowances are \$24,000, \$36,000, and \$40,000 respectively; the allowance of interest on beginning capital is 6%; and the remaining income is divided by each partner's capital percentage of total partnership capital (e.g. Partner capital/Total Partnership capital). Partnership income to be distributed for this scenario is \$624,000.

	Moe	Larry	Curley	Total
Salary Allowance				
Interest Allowance				
Remaining Income				
Net Income				